

2. **The rule controlled by the intention of the settlor.**—Such is the *primâ facie* rule in trusts; but in every instance it is liable to be controlled and defeated by an intention to the contrary collected from the instrument creating the trust, whether that intention be *expressed* or *implied*.

3. **Either expressed.**—The former is the case, if the settlor direct in *express* terms that the receipts of A., the trustee, shall discharge the purchaser from seeing to the application of the purchase-money; for B. and C. cannot at the same moment claim under and contradict the instrument—they cannot avail themselves of the sale, and reject the proviso affecting the receipt.

The words in a *power of attorney*, “to sign discharges in the name of the assignor *or otherwise*, and to do all other acts *as the principal might have done*,” have been held to carry such a direction (*b*) where not controlled by a subsequent receipt clause tending to negative that intent (*c*). But the receipt clause has not always been liberally construed; as where trustees were entitled to receive a sum of *stock* with a power of varying securities, a receipt signed for *cash* was held to be no discharge, though the Court said that had there been any indication of an intention to exercise the power of varying securities for which cash would be required, the decision might have been different (*d*).

[*454] It would *have been more satisfactory had the Court

(*b*) *Binks v. Lord Rokeby*, 2 Mad. 227; see 238, 239; *Desborough v. Harris*, 5 De G. M. & G. 439. In this case L. C. Cranworth considered that an assignment of a policy by way of mortgage vests a *power* of signing receipts in the mortgagee from the nature of the case, and independently of any express power of signing receipts, for the possession of the policy is evidence that something is due, and the Insurance Company cannot be expected to take the account between mortgagor and mortgagee. Of course it would be otherwise if the company had express notice that the mortgage had been satisfied. The difficulty felt by the insurance companies in such

cases has been, that after paying upon the equitable title they might incur costs pending an action upon the legal title. However, a defendant may now plead an equitable defence at law; and if successful upon the equitable defence would recover his costs in the action. See further *Ottley v. Gray*, 16 L. J. N. S. Ch. 512; *Curton v. Jellicoe*, 14 Ir. Ch. Rep. 180. A late Act has enabled the assignee of a policy to bring an action in a court of law. 30 & 31 Vict. c. 144, s. 1. And see 36 & 37 Vict. c. 66.

(*c*) *Brasier v. Hudson*, 9 Sim. 1.

(*d*) *Pell v. De Winton*, 2 De G. & J. 13.